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	FINAL TERM EXAMINATION SEMESTER Fall 2005 MGT101-Financial Accounting(Paper 2)	Total Marks: 60 Duration: 120min

Name: .....

Student ID: .....

PVC Name & Code: .....

INSTRUCTIONS:

Please read the following instructions carefully before attempting any question:

- The duration of this examination is 120 minutes.
- All questions are compulsory.
- This exam consists of 5 Multiple Choice Questions (MCQ's) carrying 2 marks each, 6 Short questions carrying 5 marks each and 2 Descriptive questions carrying 10 marks.
- You are required to show all the working of short questions as well as Descriptive questions.
- This examination is closed book, closed notes, closed neighbors.
- Do not ask any questions about the contents of this examination from anyone.
- The use of calculator is allowed.
- You may wish to pace yourself with your own watch, but the Supervisor will be the official timekeeper of the test.
- Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

Questions	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Q11	Q12	Q13	Total
Marks														

Marks: 2

Debtors are:

1. The third persons / parties, from whom business owes money
2. These are receivables of the business against sales of goods
3. It is an asset of the business and is shown in the balance sheet under the heading of 'current assets'
4. All of the given Options

Question No: 2 Marks: 2

Advance insurance is an example of

1. Current Asset
2. Administrative expense
3. Insurance expense
4. Current Liability

Marks: 2

Which of the following is not a component of Financial Statement?

1. Balance Sheet
2. Profit and Loss account
3. Bank Reconciliation Statement
4. Cash Flow statement

Question No: 4 Marks: 2

Cost of goods sold does not contain which of the following heads of Accounts:

1. Purchase of raw material / goods
2. Wages paid to employees for manufacturing of goods
3. Commission is paid on purchases from third parties
4. Any expense incurred on carriage / transportation of purchased items

Question No: 5 Marks: 2

Paid up Capital is:

1. The amount raised by the company by the issue of its shares to general public
2. The maximum amount with which a company gets Registration / Incorporation
3. Amount collected on issuance of prospectus and debentures
4. None of the given Options

Question No: 6 | Marks: 5

What is meant by Prepaid expenses? Explain with example.

Question No: 7 | Marks: 5

Ascertain the amount of Net Profit for the year ended 31st December by the following data:

Opening Capital	26,500
Ending Capital	34,800
Owner's Drawings	9,000
Additional Capital Introduced during the year	5,000

Question No: 8 | Marks: 5

What do you mean by Current Ratio? How it is calculated? What should be its ratio for a business Organization?

Question No: 9 | Marks: 5

Define SUBSIDIARY BOOKS.

Question No: 10 | Marks: 5

Differentiate between Reserve and Provision.

Question No: 12 Marks : 10

Prepare a Creditors Control Account from the following data and work out the closing balance on April 30, of creditors.

Apr. 1 Opening Balance 44,500

Totals for May:

Total Credit Purchases	**32,000**
Purchase Return	**6,200**
Cheques and Cash paid	**28,800**
Discounts received	**2,500**

Question No: 13 Marks : 10

The following is the trial balance extracted from the books of Naeem & Sons as on 30/06/2002. Prepare a profit & loss account & balance sheet for the year ended June 30, 2002.